



National  
Qualifications  
2015

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# **2015 Accounting**

## **New Higher**

### **Finalised Marking Instructions**

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## General Marking Principles for Higher Accounting

This information is provided to help you understand the general principles you must apply when marking candidate responses to questions in this paper. These principles must be read in conjunction with the detailed marking instructions, which identify the key features required in candidate responses.

- (a) Marks for each candidate response must always be assigned in line with these General Marking Principles and the Detailed Marking Instructions for this assessment.
- (b) Marking should always be positive. This means that, for each candidate response, marks are accumulated for the demonstration of relevant skills, knowledge and understanding: they are not deducted from a maximum on the basis of errors or omissions.
- (c) If a specific candidate response does not seem to be covered by either the principles or detailed Marking Instructions, and you are uncertain how to assess it, you must seek guidance from your Team Leader.
- (d) Consequentiality subsequent to a calculative error must be followed through, with credit being given for any errors in subsequent calculations or working.
- (e) Scored out or erased working which has not been replaced should be marked where still legible. However, if the scored out or erased working has been replaced, only the work which has not been scored out should be marked.
- (f) (i) For questions that ask candidates to “Describe ...”

Candidates must make a number of relevant factual points, which may be characteristics and/or features, as appropriate to the question asked. These points may relate to a concept, process or situation.

Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question:

- **1 mark** should be given for each relevant factual point.
- **1 mark** should be given for any further development of a relevant point, including exemplification when appropriate.

- (ii) For questions that ask candidates to “Outline ...”

Candidates must make a number of brief statements appropriate to the question asked. These may include facts, features or characteristics.

Up to the total mark allocation for this question:

- **1 mark** should be given for each accurate statement.

## Detailed Marking Instructions for each question

### Section 1

| Question |     |     | Expected Answer(s)                                                                                       |              |               | Max Mark | Additional Guidance       |
|----------|-----|-----|----------------------------------------------------------------------------------------------------------|--------------|---------------|----------|---------------------------|
| 1.       | (a) | (i) | Income Statement (Trading, Profit and Loss) for Thomson and Affleck for year ending 30 December Year 2 ✓ |              |               |          |                           |
|          |     |     |                                                                                                          | £            | £             | £        |                           |
|          |     |     | Revenue (Sales)                                                                                          |              |               | 160,000  | 1 for both                |
|          |     |     | Less Revenue Returns (Sales Returns)                                                                     |              |               | 10,000   |                           |
|          |     |     |                                                                                                          |              |               | 150,000  |                           |
|          |     |     | LESS COST OF SALES (GOODS SOLD)                                                                          |              |               |          |                           |
|          |     |     | Opening Inventory (Stock)                                                                                |              | 15,000        |          | 1 for opening and closing |
|          |     |     | Add Purchases                                                                                            | 30,000       |               |          | 1 for both                |
|          |     |     | Add Carriage In                                                                                          | <u>2,000</u> | <u>32,000</u> |          |                           |
|          |     |     |                                                                                                          |              | 47,000        |          |                           |
|          |     |     | Less Closing Inventory (Stock)                                                                           |              | <u>5,000</u>  |          |                           |
|          |     |     |                                                                                                          |              | 42,000        |          |                           |
|          |     |     | Add Warehouse Wages                                                                                      | 2,000        |               |          | 1 for here and expenses   |
|          |     |     | Add Warehouse Rent                                                                                       | <u>1,500</u> | <u>3,500</u>  |          | 1 for here and expenses   |
|          |     |     | COST OF SALES (GOODS SOLD)                                                                               |              |               | 45,500   |                           |
|          |     |     | GROSS PROFIT ✓                                                                                           |              |               | 104,500  |                           |
|          |     |     |                                                                                                          |              |               |          |                           |
|          |     |     |                                                                                                          |              |               |          |                           |
|          |     |     |                                                                                                          |              |               |          |                           |
|          |     |     |                                                                                                          |              |               |          |                           |
|          |     |     |                                                                                                          |              |               |          |                           |

| Question |  |  | Expected Answer(s)                      |  |        |        | Max Mark                              | Additional Guidance                        |
|----------|--|--|-----------------------------------------|--|--------|--------|---------------------------------------|--------------------------------------------|
|          |  |  | LESS EXPENSES                           |  |        |        |                                       |                                            |
|          |  |  | Wages                                   |  | 1,000  |        | As above                              |                                            |
|          |  |  | Rates (4-1)                             |  | 3,000  |        | 1                                     |                                            |
|          |  |  | Electricity (6+2)                       |  | 8,000  |        | 1                                     |                                            |
|          |  |  | Rent                                    |  | 500    |        | As above                              |                                            |
|          |  |  | Interest on Partners Loan (20*5%/2)     |  | 500    |        | 1                                     |                                            |
|          |  |  | Depreciation on Vehicles                |  | 8,000  |        | 1                                     |                                            |
|          |  |  | Depreciation on Machinery               |  | 32,500 |        | 1                                     |                                            |
|          |  |  | Discounts allowed                       |  | 2,000  | 55,500 |                                       |                                            |
|          |  |  |                                         |  |        | 49,000 |                                       |                                            |
|          |  |  | ADD INCOME                              |  |        |        |                                       |                                            |
|          |  |  | Decrease in provision for bad debts     |  | 1,000  |        | 1                                     |                                            |
|          |  |  | Add Discount Received                   |  | 3,000  | 4,000  | 1 for both DISCOUNTS                  |                                            |
|          |  |  | PROFIT FOR THE YEAR (NET PROFIT)        |  |        | 53,000 |                                       |                                            |
|          |  |  |                                         |  |        |        |                                       |                                            |
|          |  |  | ADD INTEREST ON DRAWINGS                |  |        |        |                                       |                                            |
|          |  |  | Thomson                                 |  | 320    |        |                                       | Check correct treatment.                   |
|          |  |  | Affleck                                 |  | 240    | 560    | 1 for both                            |                                            |
|          |  |  |                                         |  |        | 53,560 |                                       |                                            |
|          |  |  | LESS APPROPRIATIONS                     |  |        |        |                                       |                                            |
|          |  |  | Interest on Equity (Capital)            |  |        |        |                                       |                                            |
|          |  |  | Thomson                                 |  | 1,500  |        |                                       | Check correct treatment.                   |
|          |  |  | Affleck                                 |  | 750    |        | 1 for both                            |                                            |
|          |  |  | Salary - Thomson                        |  | 5,500  | 7,750  | 1 (only if bonus added if relevant) - | Consequential on profit for year > £50,000 |
|          |  |  | Residual Profit                         |  |        | 45,810 |                                       |                                            |
|          |  |  |                                         |  |        |        |                                       |                                            |
|          |  |  | SHARE OF PROFIT                         |  |        |        |                                       | Consequential on residual profit for year. |
|          |  |  | Thomson (2/3)                           |  | 30,540 |        |                                       |                                            |
|          |  |  | Affleck (1/3)                           |  | 15,270 | 45,810 | 1 for both                            |                                            |
|          |  |  | ONE FOR ALL LABELS AND HEADINGS CORRECT |  |        |        | 17 total                              |                                            |

| Question |      | Expected Answer(s)      |                      |       |        |         | Max Mark                                         | Additional Guidance |
|----------|------|-------------------------|----------------------|-------|--------|---------|--------------------------------------------------|---------------------|
|          | (ii) | CURRENT ACCOUNT THOMSON |                      |       |        |         |                                                  |                     |
|          |      | DATE                    | DETAILS              | DR    | CR     | BALANCE |                                                  |                     |
|          |      |                         | Balance              |       | 7,000  | 7,000   |                                                  |                     |
|          |      |                         | Interest on Drawings | 320   |        | 6,680   |                                                  |                     |
|          |      |                         | Drawings             | 8,000 |        | 1,320   |                                                  |                     |
|          |      |                         | Interest on Capital  |       | 1,500  | 180     |                                                  |                     |
|          |      |                         | Salary               |       | 5,500  | 5,680   | c                                                |                     |
|          |      |                         | Share of Profit      |       | 30,540 | 36,220  | c                                                |                     |
|          |      |                         |                      |       |        |         |                                                  |                     |
|          |      | CURRENT ACCOUNT AFFLECK |                      |       |        |         |                                                  |                     |
|          |      | DATE                    | DETAILS              | DR    | CR     | BALANCE |                                                  |                     |
|          |      |                         | Balance              | 2,000 |        | 2,000   | 1 for opening balances, layout and nomenclature. |                     |
|          |      |                         | Interest on Drawings | 240   |        | 2,240   | 1 for both.                                      |                     |
|          |      |                         | Drawings             | 6,000 |        | 8,240   | 1 for both.                                      |                     |
|          |      |                         | Interest on Capital  |       | 750    | 7,490   | 1 for both.                                      |                     |
|          |      |                         | Interest on Loan     |       | 500    | 6,990   | 1 for interest on loan and salary - c            |                     |
|          |      |                         | Share of Profit      |       | 15,270 | 8,280   | 1 for both - c                                   |                     |
|          |      |                         |                      |       |        |         | 6 total                                          |                     |

| Question |  |  | Expected Answer(s)                                                                                   |               |               | Max Mark      | Additional Guidance                                                                  |
|----------|--|--|------------------------------------------------------------------------------------------------------|---------------|---------------|---------------|--------------------------------------------------------------------------------------|
|          |  |  | STATEMENT OF FINANCIAL POSITION (BALANCE SHEET) OF THOMSON AND AFFLECK AS AT 31 DECEMBER YEAR 2 ✓ 1* |               |               |               |                                                                                      |
|          |  |  |                                                                                                      | £COST         | £DEPN         | £NBV          |                                                                                      |
|          |  |  | NON-CURRENT ASSETS (FIXED ASSETS)                                                                    |               |               |               |                                                                                      |
|          |  |  | Vehicles                                                                                             | 70,000        | 38,000        | 32,000        | 1 for row                                                                            |
|          |  |  | Machinery                                                                                            | 130,000       | 52,500        | 77,500        | 1 for row                                                                            |
|          |  |  |                                                                                                      | <u>200000</u> | <u>90500</u>  | 109500        |                                                                                      |
|          |  |  | CURRENT ASSETS                                                                                       |               |               |               |                                                                                      |
|          |  |  | Trade receivables (Debtors) (30-3)                                                                   | 27,000        |               |               | 1                                                                                    |
|          |  |  | Inventory (Stock)                                                                                    | 5,000         |               |               | 2 for stock, VAT and Prepayments                                                     |
|          |  |  | VAT                                                                                                  | 4,000         |               |               |                                                                                      |
|          |  |  | Other receivables (Prepayments)                                                                      | <u>1,000</u>  | 37,000        |               | One mistake - wrong, missing, additional items - award 1 mark.                       |
|          |  |  | CURRENT LIABILITIES                                                                                  |               |               |               |                                                                                      |
|          |  |  | Trade payables (Creditors)                                                                           | 20,000        |               |               | 2 for Accruals, Bank and Creditors                                                   |
|          |  |  | Other payables (Accruals)                                                                            | 2,000         |               |               |                                                                                      |
|          |  |  | Cash and cash equivalents (Bank)                                                                     | <u>15,000</u> | <u>37,000</u> | 0             | One mistake - wrong, missing, additional items - award 1 mark.                       |
|          |  |  |                                                                                                      |               |               | 109500        |                                                                                      |
|          |  |  | LESS NON-CURRENT LIABILITIES (LONG TERM LIABILITIES)                                                 |               |               |               |                                                                                      |
|          |  |  | Loan - Affleck                                                                                       |               |               | <u>20,000</u> | 1                                                                                    |
|          |  |  | NET WORTH                                                                                            |               |               | <u>89,500</u> |                                                                                      |
|          |  |  | FINANCED BY                                                                                          |               |               |               |                                                                                      |
|          |  |  | EQUITY (CAPITAL) ACCOUNTS                                                                            |               |               |               |                                                                                      |
|          |  |  | Thomson                                                                                              |               | 30,000        |               |                                                                                      |
|          |  |  | Affleck                                                                                              |               | <u>15,000</u> | 45000         | 1 for both                                                                           |
|          |  |  | CURRENT ACCOUNTS                                                                                     |               |               |               |                                                                                      |
|          |  |  | Thomson                                                                                              |               | 36,220        |               |                                                                                      |
|          |  |  | Affleck                                                                                              |               | <u>8,280</u>  | <u>44,500</u> | 1 for both                                                                           |
|          |  |  |                                                                                                      |               |               |               |                                                                                      |
|          |  |  |                                                                                                      |               |               | <u>89,500</u> |                                                                                      |
|          |  |  |                                                                                                      |               |               |               | If no current accounts then accept 2000 Dr and 7000 Cr or any other adjusted figure. |
|          |  |  |                                                                                                      |               |               |               | Loan must be last item in top or bottom section to gain mark.                        |
|          |  |  | * 1 FOR CORRECT HEADING                                                                              |               |               |               | 11 TOTAL                                                                             |

| Question |     |      | Expected Answer(s)                                                                                                                                                                                                                                                                                                                                    |            |            |        |            | Max Mark | Additional Guidance                                                 |
|----------|-----|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|------------|--------|------------|----------|---------------------------------------------------------------------|
|          | (b) | (i)  | New Profit Sharing Ratio                                                                                                                                                                                                                                                                                                                              |            |            |        |            |          |                                                                     |
|          |     |      |                                                                                                                                                                                                                                                                                                                                                       | Thomson    | Affleck    | Spence |            |          | Names of partners do not need attached, accept any order.           |
|          |     |      | Current                                                                                                                                                                                                                                                                                                                                               | 2/3        | 1/3        |        |            |          |                                                                     |
|          |     |      | On Admission                                                                                                                                                                                                                                                                                                                                          | 2/3 of 60% | 1/3 of 60% |        |            |          |                                                                     |
|          |     |      |                                                                                                                                                                                                                                                                                                                                                       | 40%        | 20%        | 40%    | 1 for line |          |                                                                     |
|          |     |      | OR                                                                                                                                                                                                                                                                                                                                                    | 2/5        | 1/5        | 2/5    |            |          |                                                                     |
|          |     | (ii) | Calculation of New Balances                                                                                                                                                                                                                                                                                                                           |            |            |        |            |          |                                                                     |
|          |     |      |                                                                                                                                                                                                                                                                                                                                                       | Thomson    | Affleck    | Spence |            |          | If Revaluation and Share of Profit then lose award for Revaluation. |
|          |     |      | Original Balances                                                                                                                                                                                                                                                                                                                                     | 30,000     | 15,000     | 30,000 |            |          |                                                                     |
|          |     |      | Revaluation Surplus                                                                                                                                                                                                                                                                                                                                   | 4,800      | 2,400      |        | 1 for line |          |                                                                     |
|          |     |      |                                                                                                                                                                                                                                                                                                                                                       | 34,800     | 17,400     |        |            |          | If Loan and Goodwill is included then lose award for Goodwill.      |
|          |     |      | Goodwill                                                                                                                                                                                                                                                                                                                                              | 8,000      | 4,000      |        | 1 for line |          |                                                                     |
|          |     |      |                                                                                                                                                                                                                                                                                                                                                       | 42,800     | 21,400     | 30,000 |            |          |                                                                     |
|          |     |      | Goodwill Written down                                                                                                                                                                                                                                                                                                                                 | 4,800      | 2,400      | 4,800  | 1 for line |          | Ignore the inclusion of current account balances.                   |
|          |     |      | New Balances                                                                                                                                                                                                                                                                                                                                          | 38,000     | 19,000     | 25,200 |            |          |                                                                     |
|          | (c) |      | <p>From shareholders through the issue of Shares - Preference fixed dividend in return for investing in the company (1) or Ordinary - in return for a share of the profits in the form of a variable dividend (1) - successful year high dividend/poor year no or low dividend.</p> <p>Debentures - issue of loan/with fixed annual interest (1).</p> |            |            |        |            | 2        |                                                                     |

## Section 2

| Question                |           | Expected Answer(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Max Mark | Additional Guidance |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
|-------------------------|-----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------|---------|----------|--|------------------------|---------|--------|--------|--|-----------------|--|--|--|--|------------|--------|--------|--------|---|------------------------|--------|--------|--------|---|-------------------------|--------|--------|--------|---|--|---------|--------|--------|--|-----------------|--|--|--|--|----------|--------|--------|--------|---|--------|--------|--------|-------|---|----------------|-----|-------|-----|---|-------------------------|--------|-------|-------|---|-------------------------|--------|--------|--------|---|-------------|--------|--------|--------|---|--|--------|--------|--------|--|-----------------|--------|--------|--------|-----|----|--------------------------------------------------------------------------------------------------------------------------|
| 2.                      | (a)       | <p>J Wilson and L Donnelly<br/>Cash Budget for 3 months/September - November Year 2 ✓</p> <p>(a)</p> <table> <tr> <th></th><th>September</th><th>October</th><th>November</th><th></th></tr> <tr> <td><b>Opening Balance</b></td><td>35,500✓</td><td>63,618</td><td>74,598</td><td></td></tr> <tr> <td><b>Receipts</b></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Cash Sales</td><td>76,800</td><td>45,600</td><td>33,600</td><td>2</td></tr> <tr> <td>Credit Sales - 1 Month</td><td>20,900</td><td>24,320</td><td>14,440</td><td>3</td></tr> <tr> <td>Credit Sales - 2 Months</td><td>21,168</td><td>21,560</td><td>25,088</td><td>3</td></tr> <tr> <td></td><td>118,868</td><td>91,480</td><td>73,128</td><td></td></tr> <tr> <td><b>Payments</b></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Material</td><td>22,000</td><td>15,000</td><td>12,000</td><td>2</td></tr> <tr> <td>Labour</td><td>18,000</td><td>13,200</td><td>9,000</td><td>1</td></tr> <tr> <td>Labour - bonus</td><td>750</td><td>1,500</td><td>300</td><td>2</td></tr> <tr> <td>Variable Overhead - 1/3</td><td>12,000</td><td>8,800</td><td>6,000</td><td>1</td></tr> <tr> <td>Variable overhead - 2/3</td><td>20,000</td><td>24,000</td><td>17,600</td><td>2</td></tr> <tr> <td>Fixed Costs</td><td>18,000</td><td>18,000</td><td>18,000</td><td>1</td></tr> <tr> <td></td><td>90,750</td><td>80,500</td><td>62,900</td><td></td></tr> <tr> <td>Closing Balance</td><td>63,618</td><td>74,598</td><td>84,826</td><td>✓ 1</td></tr> </table> <p>Heading, layout and opening and closing balances 1 mark</p> |          | September           | October | November |  | <b>Opening Balance</b> | 35,500✓ | 63,618 | 74,598 |  | <b>Receipts</b> |  |  |  |  | Cash Sales | 76,800 | 45,600 | 33,600 | 2 | Credit Sales - 1 Month | 20,900 | 24,320 | 14,440 | 3 | Credit Sales - 2 Months | 21,168 | 21,560 | 25,088 | 3 |  | 118,868 | 91,480 | 73,128 |  | <b>Payments</b> |  |  |  |  | Material | 22,000 | 15,000 | 12,000 | 2 | Labour | 18,000 | 13,200 | 9,000 | 1 | Labour - bonus | 750 | 1,500 | 300 | 2 | Variable Overhead - 1/3 | 12,000 | 8,800 | 6,000 | 1 | Variable overhead - 2/3 | 20,000 | 24,000 | 17,600 | 2 | Fixed Costs | 18,000 | 18,000 | 18,000 | 1 |  | 90,750 | 80,500 | 62,900 |  | Closing Balance | 63,618 | 74,598 | 84,826 | ✓ 1 | 18 | If no distinction between receipts and payments award marks to receipts only unless payments implied in the final total. |
|                         | September | October                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | November |                     |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| <b>Opening Balance</b>  | 35,500✓   | 63,618                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 74,598   |                     |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| <b>Receipts</b>         |           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |          |                     |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| Cash Sales              | 76,800    | 45,600                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 33,600   | 2                   |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| Credit Sales - 1 Month  | 20,900    | 24,320                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 14,440   | 3                   |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| Credit Sales - 2 Months | 21,168    | 21,560                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 25,088   | 3                   |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
|                         | 118,868   | 91,480                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 73,128   |                     |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| <b>Payments</b>         |           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |          |                     |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| Material                | 22,000    | 15,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 12,000   | 2                   |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| Labour                  | 18,000    | 13,200                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 9,000    | 1                   |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| Labour - bonus          | 750       | 1,500                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 300      | 2                   |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| Variable Overhead - 1/3 | 12,000    | 8,800                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 6,000    | 1                   |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| Variable overhead - 2/3 | 20,000    | 24,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 17,600   | 2                   |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| Fixed Costs             | 18,000    | 18,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 18,000   | 1                   |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
|                         | 90,750    | 80,500                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 62,900   |                     |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |
| Closing Balance         | 63,618    | 74,598                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 84,826   | ✓ 1                 |         |          |  |                        |         |        |        |  |                 |  |  |  |  |            |        |        |        |   |                        |        |        |        |   |                         |        |        |        |   |  |         |        |        |  |                 |  |  |  |  |          |        |        |        |   |        |        |        |       |   |                |     |       |     |   |                         |        |       |       |   |                         |        |        |        |   |             |        |        |        |   |  |        |        |        |  |                 |        |        |        |     |    |                                                                                                                          |



| Question |     |  | Expected Answer(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Max Mark | Additional Guidance                                                                                               |
|----------|-----|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|-------------------------------------------------------------------------------------------------------------------|
|          | (b) |  | <p>Two advantages of using a spreadsheet to prepare cash budgets are:</p> <p><b>(1 mark for each advantage given)</b></p> <p>Calculations with the use of formulae are more accurate.</p> <p>Graphs/charts can be prepared quite easily to present management accounting information.</p> <p>Forecasting is much easier with the use of "What if" statements.</p> <p>Changes can be made easily as the formulae will mean everything else changes as a result – ripple effect.</p> <p>Templates can be used.</p> | 2        | <p>Candidates must give 2 specific examples of using a spreadsheet.</p> <p>Accept any other advantages given.</p> |

| Question                                          |           |              | Expected Answer(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Max Mark | Additional Guidance |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
|---------------------------------------------------|-----------|--------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------|-----------------------------------------------|---------|----------------------------------------|---------|--|---------|------------------------------------|---------|--------------------------------------------|---------|---------|--|---------------------------------------------------|---------|--|---------|------------------------------------------|--------|---------------------------|-----------|------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 3.                                                | (a)       | (i)          | Gearing ratio = Fixed Interest funding/Ordinary Share Equity<br><br>Alpha = (£2,000,000+£2,000,000) / £2,000,000 = 2:1    1<br>Beta = (£1,000,000+£1,400,000) / £3,200,000 = 0.75:1    1                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2        | Ratio must be x:1   |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
|                                                   |           | (ii)         | Alpha 1 as this is the highest geared and therefore fixed dividends/interest would have limited drain on profits, leaving more available for distribution to ordinary shareholders 1.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 2        |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
|                                                   | (b)       | (i) and (ii) | <i>the Profit for the Year after tax and interest;</i><br><br><i>the profit available for ordinary dividends if company policy dictates that 25% is retained in the business.</i><br><table><tr><td></td><td>£</td></tr><tr><td>Profit for the Year (before interest and tax)</td><td>960,000</td></tr><tr><td>Debenture Interest (£2,000,000 x 8%) 1</td><td>160,000</td></tr><tr><td></td><td>800,000</td></tr><tr><td>Corporation Tax (£800,000 x 30%) 1</td><td>240,000</td></tr><tr><td>Profit for the Year after Interest and Tax</td><td>560,000</td></tr><tr><td>(b)(ii)</td><td></td></tr><tr><td>Preference Dividends Payable (£2,000,000 x 10%) 1</td><td>200,000</td></tr><tr><td></td><td>360,000</td></tr><tr><td>Desired Retained Profit (£360,000 x 25%)</td><td>90,000</td></tr><tr><td>Proposed Dividend Payment</td><td>270,000 1</td></tr></table> |          | £                   | Profit for the Year (before interest and tax) | 960,000 | Debenture Interest (£2,000,000 x 8%) 1 | 160,000 |  | 800,000 | Corporation Tax (£800,000 x 30%) 1 | 240,000 | Profit for the Year after Interest and Tax | 560,000 | (b)(ii) |  | Preference Dividends Payable (£2,000,000 x 10%) 1 | 200,000 |  | 360,000 | Desired Retained Profit (£360,000 x 25%) | 90,000 | Proposed Dividend Payment | 270,000 1 | 2<br><br>2 | Award corporation tax for 1 mark if Debenture Interest not included.<br><br>If no preference dividend included award 1 to Proposed Dividend Payment of 75% of profit for the year. |
|                                                   | £         |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
| Profit for the Year (before interest and tax)     | 960,000   |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
| Debenture Interest (£2,000,000 x 8%) 1            | 160,000   |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
|                                                   | 800,000   |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
| Corporation Tax (£800,000 x 30%) 1                | 240,000   |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
| Profit for the Year after Interest and Tax        | 560,000   |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
| (b)(ii)                                           |           |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
| Preference Dividends Payable (£2,000,000 x 10%) 1 | 200,000   |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
|                                                   | 360,000   |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
| Desired Retained Profit (£360,000 x 25%)          | 90,000    |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |
| Proposed Dividend Payment                         | 270,000 1 |              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |                                               |         |                                        |         |  |         |                                    |         |                                            |         |         |  |                                                   |         |  |         |                                          |        |                           |           |            |                                                                                                                                                                                    |

| Question |       | Expected Answer(s)                                                                                                                                                                                                                                                                                                                   | Max Mark | Additional Guidance                                                                         |
|----------|-------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------------------------------------------------------------------------------|
|          | (iii) | <b>Dividend cover;</b><br><br>Alpha<br>= (Profit for the Year after Tax & Interest - Preference Dividend)/Ordinary Share Dividend<br>= £360,000 / £270,000 = 1.33 times <b>1</b><br>Beta<br>= (Profit for the Year after Tax & Interest - Preference Dividend)/Ordinary Share Dividend<br>= £388,000 / £250,000 = 1.5 times <b>1</b> | 2        | Times is not required to be stated for award.                                               |
|          | (iv)  | <b>Earnings Per Share;</b><br><br>Alpha<br>= (Profit for the Year after Tax & Interest - Preference Dividend)/Ordinary Shares<br>= £360,000/2,000,000 = £0.18 per share <b>1</b><br>Beta<br>= (Profit for the Year after Tax & Interest - Preference Dividend)/Ordinary Shares<br>= £388,000/3,200,000 = £0.12 per share <b>1</b>    | 2        | Profit for year after tax and interest - preference dividend may be consequential on (iii). |
|          | (v)   | <b>Price/Earnings Ratio</b><br><br>Alpha<br>= Market Price per share/Earnings per Share<br>= £1.35/£0.18 = 7.5 times <b>1</b><br>Beta<br>= Market Price per share/Earnings per Share<br>= £1.35/£0.12 = 11.25 times <b>1</b>                                                                                                         | 2        | Times is not required to be stated for award.                                               |

| Question |     |     | Expected Answer(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Max Mark | Additional Guidance                                                     |
|----------|-----|-----|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|-------------------------------------------------------------------------|
|          | (c) |     | Short term investors may favour Alpha as EPS/PE Ratio more attractive. <b>1</b><br>EPS is 3p per share better than Beta and earning in relation to share price (7.5 times) may indicate a good time to buy in Alpha. <b>1</b> Those investors looking for a more secure, longer term investment may be attracted to the fact that Beta reinvested more profits back into the business, with a dividend cover of almost 2 times. <b>1</b> This is the cheapest form of funding available and may mean less need to borrow/further dilute equity in the future. <b>1</b> | <b>3</b> | Pupils can recommend any company as long as it is justified.            |
|          | (d) | (i) | <b>Accounting Rate of Return</b><br><br>This is the ratio of average annual Profit for the Year before interest and tax to the equity invested in the project. <b>1</b><br><br><b>Payback</b><br><br>Based upon an estimate of the time it will take a project to earn enough cash to cover its initial cost. <b>1</b>                                                                                                                                                                                                                                                 | <b>1</b> | Accept either of the above techniques.<br><br>One mark per description. |

| Question |  |      | Expected Answer(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Max Mark | Additional Guidance                                                  |
|----------|--|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|----------------------------------------------------------------------|
|          |  | (ii) | <p><b>Accounting Rate of return</b></p> <p>Advantages</p> <ul style="list-style-type: none"> <li>It is an identifiable and familiar profitability ratio similar to Return on Equity Employed so is understandable to most managers. <b>1</b></li> <li>Easy to calculate. <b>1</b></li> <li>Emphasises the necessity of profit. <b>1</b></li> </ul> <p>Disadvantages</p> <ul style="list-style-type: none"> <li>Does not consider the time value of money. <b>1</b></li> <li>It ignores the timing of cash outflows and inflows. <b>1</b></li> <li>There is no target rate of return. <b>1</b></li> <li>It may lead to choosing a project which will only begin to maximise profits in later years, risking losses if market conditions change. <b>1</b></li> </ul> <p><b>Payback</b></p> <p>Advantages</p> <ul style="list-style-type: none"> <li>Very easy to understand and calculate. <b>1</b></li> <li>Can compare mutually exclusive projects. <b>1</b></li> <li>May encourage growth by favouring projects providing a quick return. <b>1</b></li> <li>Reduces the time during which liquidity is at risk. <b>1</b></li> </ul> <p>Disadvantages</p> <ul style="list-style-type: none"> <li>Calculation and timing of net cash flows may be difficult. <b>1</b></li> <li>Ignores profitability. <b>1</b></li> <li>Ignores net cash inflows after payback period. <b>1</b></li> <li>Ignores time value of money. <b>1</b></li> </ul> | 2        | At least one advantage or disadvantage must be given for full marks. |

### Solution

1. No of planned meals for year 3 -  $(3,000/0.75) \times 0.9 \times 50 = 180,000$  **2**
2. Working Note for all running costs

| Cost                                                               | £       | Marks             | Additional Guidance                                       |
|--------------------------------------------------------------------|---------|-------------------|-----------------------------------------------------------|
| Renovation Costs (450 x 250)                                       | 112,500 | <b>1</b>          | Award marks on Statement if provided.                     |
| Depreciation on kitchen equipment (105,000 x 10%)                  | 10,500  | <b>1</b>          |                                                           |
| Wages - Canteen Supervisor                                         | 29,360  | <b>1 for both</b> | Award marks on Working Note regardless of labels.         |
| Wages - cooks (17,500 x 2)                                         | 35,000  |                   |                                                           |
| Wages - kitchen assistants (Mon-Fri) (4 x 6 x 5 x 50 x 9) £ 51,840 | 54,000  | <b>1</b>          | Lose Depreciation award if Kitchen Equipment is included. |
| Wages - kitchen assistants (Sat-Sun) ( 2 x 2 x 4 x 18 x 50)        | 14,400  | <b>1</b>          |                                                           |
| Wages - holidays (4 x 6 x 5 x 2 x 9) £4,320                        | 2,160   | <b>1</b>          |                                                           |
| Wages - temporary staff (4 x 6 x 5 x 2 x 7)                        | 1,680   | <b>1</b>          |                                                           |
| Food supplies (2500 x 50)                                          | 125,000 | <b>1</b>          |                                                           |
| Cleaning and laundry (1,800 x 4)                                   | 7,200   | <b>1</b>          |                                                           |
| Consumables (180,000 <b>c</b> x 0.06)                              | 10,800  | <b>1</b>          |                                                           |
| Other costs (1,700 x 12)                                           | 20,400  | <b>1</b>          |                                                           |
| Total Annual Running Cost                                          | 423,000 |                   |                                                           |

Cost per meal =  $\frac{423,000}{180,000}$  **c** £2.35 per meal **1**

| Question |     |      | Expected Answer(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max Mark | Additional Guidance |
|----------|-----|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------|
| 4.       | (a) | (i)  | Estimated Service Cost Statement for AJP plc for year 3<br><br>See previous page.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 14       |                     |
|          |     | (ii) | Cost to AJP plc - £2.35 per meal<br>Current cost per meal (Bell Catering) = (£9,000 x 50 weeks)/150,000 meals = £3.00 per meal. (1)<br>Advice: Go ahead with the plan to take the catering in-house as cost per meal is cheaper. (1)<br><br>(Be aware of consequentiality)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 2        |                     |
|          | (b) |      | Abnormal Loss<br><br>Treatment:<br><br><ul style="list-style-type: none"> <li>• abnormal loss CPU is calculated to be same as “good” output (1) and entered in the “output” or “credit” side of the process account (1)</li> <li>• abnormal loss transferred to abnormal loss account on the input side/debit side of the account (1)</li> <li>• any scrap value earned from the abnormal loss is entered into the credit side of the abnormal loss account and debited to the bank account (1)</li> <li>• balance of abnormal loss account is transferred to the P&amp;L Account by crediting the abnormal loss account and debiting the P&amp;L Account. (1)</li> </ul> <p><i>One mark per correctly outlined stage in the procedure for dealing with abnormal loss.</i></p> | 4        |                     |

[END OF MARKING INSTRUCTIONS]

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